

EQUITY RESEARCH · COMPANY DEEP DIVE

Caterpillar Inc. (CAT.US)

Industrials · Farm & Heavy Construction Machinery

Large Cap (>\$200B) · Report Date: June 29, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-06-29

UNDERWEIGHT

Composite · Valuation: SELL

Target \$839.79 · -18.7% upside

Price \$1033.19

INVESTMENT HIGHLIGHTS

- **SELL** — blended target \$839.79 (-18.7% vs \$1033.19); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; healthy margins; elevated leverage; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	SELL	Blended PT \$839.79	45%
FSA	Strong	Health +0.25 · Strong	20%
Technical	BULLISH	Bullish	20%
Quantitative	POSITIVE	Score +0.80 · 12m +171%	15%
Composite	UNDERWEIGHT	Score -0.10 · 75% confluence	—

Valuation anchor: -19% upside vs target; valuation rich but trend improving — wait for confirmation; solid financial statement profile.

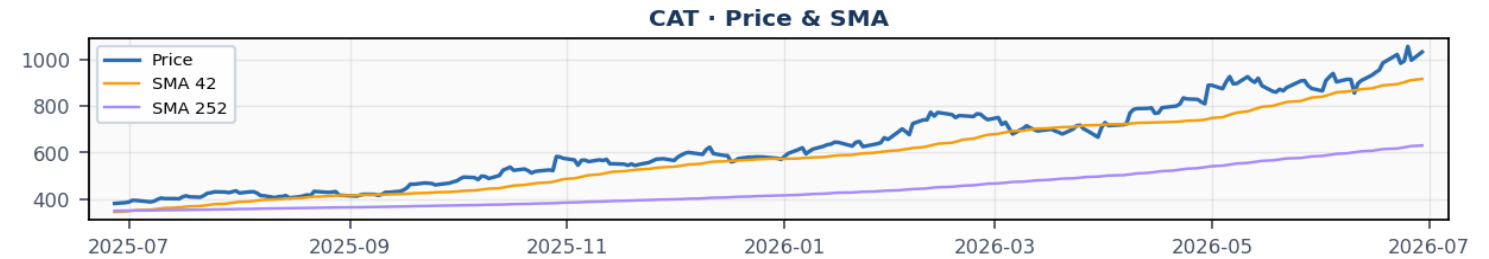
INVESTMENT THESIS / EXECUTIVE SUMMARY

Caterpillar Inc. (CAT) — Industrials. Caterpillar Inc. provides construction and mining equipment, off-highway diesel and natural gas engines, industrial gas turbines, and diesel-electric... **SELL** rating; blended target \$839.79. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$475.88B	Shares Out.	460.6M
52-Week Range	\$384.25 – \$1057.07	P/E (TTM)	51.6x
P/B	25.5x	Beta	1.60
Avg Volume	2.89M	Analyst Rec.	Buy
Revenue (TTM)	\$70.76B	Rev Growth	+22.2%
Op. Margin	18.2%	FCF (TTM)	\$7.45B
Gross Margin	28.6%	ROE	51.3%
EV/EBITDA	35.4x	Debt/Equity	230.8%
EPS (TTM)	\$20.04	Div Yield	63.0%

PRICE TREND · SMA 42 / 252



FINANCIAL & VALUATION SUMMARY
(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	64,809	67,589	82,594	96,048	107,721
Revenue Growth (%)	N/A	4.3%	22.2%	16.3%	12.2%
Net Income (\$M)	10,792	8,884	10,856	12,625	14,159
Gross Margin (%)	36.0%	31.8%	28.6%	28.6%	28.6%
Net Margin (%)	16.7%	13.1%	13.1%	13.1%	13.1%
EPS (\$)	23.43	19.29	23.57	27.41	30.74
P/E (x)	44.10	53.57	43.83	37.69	33.61

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$917.00	Short-term trend	12m Momentum	+171.5%	
SMA (252d)	\$630.21	Long-term trend	3m Momentum	+55.1%	
RSI (14d)	63.6	Momentum oscillator	Ann. Volatility	31.1%	
Trend	Bullish		Sharpe Ratio	1.13	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-34.0%	
Death Cross (20d)	No		Rel. Strength vs SPY	+334.0%	
TA Signal	BULLISH	Price above SMA42; SMA42 > SMA252; SMA42=\$917.00, S...	Quant Score	+0.80	POSITIVE
			SMA Backtest (ann.)	38.6%	B&H; 57.1%

VALUATION CROSS-CHECK · DCF (SIMON FCFE)

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes	Item	Value
DCF (Simon FCFE)	\$279.60	-72.9%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or distorted FCFE)	Ke · Terminal g	12.82% · 4.00%
					FCFE growth	12.00%
					Equity value	\$128.78B
Comps — Blended (median of multiples + uplift anchors)	\$811.99	-21.4%	80%	Included in blend	Implied price	\$279.60
					vs. current	-72.9%
Analyst consensus (Yahoo Finance)	\$951.02	-8.0%	20%	Included in blend		
Blended target (weighted)	\$839.79	-18.7%	100%	Comps 80% + Analyst 20%		

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
SPY	State Street SPDR S&P;	N/A	26.5x	N/A	N/A	N/A
CAT*	Caterpillar Inc.	\$475.88B	51.6x	35.4x	13.3%	+22.2%

* Subject company. Commands premium p/e vs peers. Trends: Strong top-line growth (22.2% YoY); Healthy operating margins (18.2%); Above-market volatility (β=1.60) - Risks: Elevated leverage (D/E: 231%); Premium valuation (P/E: 51.6x) Strong revenue growth; healthy margins; elevated leverage; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.